NOTE 5 – INCOME TAXES

The Company follows Accounting Standards Codification 740, Accounting for Income Taxes. During 2009, there was a change in control of the Company.

Under section 382 of the Internal Revenue Code such a change in control negates much of the tax loss carry forward and deferred income tax. Deferred income taxes reflect the net tax effects of (a) temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax reporting purposes, and (b) net operating loss carry forwards. For federal income tax purposes, the Company uses the accrual basis of accounting, the same that is used for financial reporting purposes.

The Company did not have taxable income for the years ended December 31, 2010 or 2009.

The Company's deferred tax assets consisted of the following as of December 31, 2010 and 2009:

	2010	2009
Net operating loss	$ 19,104	$ 21,700
Deferred revenue	75,633	14,185
Total deferred tax asset	94,737	35,885
Valuation allowance	(94,737)	(35,885)
Net deferred tax asset	$ -	$ -

The Company had a net income of $290,283 and $93,927 for the years ending December 31, 2010 and 2009, respectively. As of December 31, 2010, the company's net operating loss carryforward was $54,583.